

24SMCV03128 24SMCV03128

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The case is here on an FSC, but it is in an odd posture. Defense counsel withdrew, so that the non-human entity cannot go forward unless new counsel has been retained. The court has received no FSC documents, but the court has a suspicion as to why that might be. Plaintiff had filed an MSJ earlier based on what plaintiff assumed would be an order deeming certain requests for admissions to be deemed admitted. But the motion was filed before the order, so the MSJ was denied. The court notes that the MSJ was unopposed. Since then, the order deeming the RFAs to be admitted was made. So there really is not likely to be a trial.

If both parties are here, the court will discuss what the right procedure will be in light of the deemed admitted order. The court is of the view that those admissions in fact do dispose of the case.

As such, it might be that the parties (or plaintiff if defendant is not here) will want to waive jury, admit the admissions and exhibits, and then rest, or rest after a very short bit of testimony from the assignor. The court's current thinking is that the judgment plaintiff proposes would then be entered with two differences.

The case, according to plaintiff, involves two financial transactions. One is a loan made in 2017. It was for \$150,000. It was supposed to be repaid quickly but was not. Defendant allegedly then agreed to repay that loan from a business partnership that the parties entered into later. And that is the subject of the second transaction. Plaintiff invested \$300,000 in a partnership with defendant involving masks. Defendant personally guaranteed that the

investment would be repaid within a couple of months. It was not repaid and the business seems to have gone nowhere. Plaintiff sues for those sums, plus interest. That much seems established given the admissions.

What is not established is plaintiff's attempt to treble the \$300,000 pursuant to Penal Code section 496, which so allows when a defendant receives stolen property. The problem the court has here is that it does not see any stolen property. The \$300,000 was not stolen—it was invested. Plaintiff claims that defendant wrongly used the money to buy masks.

The court is not sure how that is wrongful—that was, after all, the purpose of the partnership. True, there is an RFA where defendant has been deemed to admit that this statute applies, but one cannot use an RFA that way—at least not bindingly. RFAs are used to admit facts, not legal conclusions. And the court does not see it here. As such, the court is not inclined to award treble damages. Nor does the court see a basis for attorneys fees. Those fees are sought based only on the same statute, and they are therefore not recoverable for the same reason.

Thus, on this record, the court would be inclined to award judgment the principal amount of \$450,000, prejudgment interest per plaintiff's calculation, and costs.

If plaintiff wants to proceed with an actual trial, or if a defendant is here and ready, we might have to wait. That will depend on whether it is a jury trial or a bench trial and the length.

Right now, the court is otherwise engaged in a trial, but could hear the matter today if it is expedited.